transactions, very high stakes and varying amounts of secrecy. How the front-line policeman behaves can make a difference of life and death for a person. This gives extreme discretionary power to the policeman. The hardest problems in state capacity are the criminal justice system, the judiciary, the tax system and financial regulation.

Learn to walk before you run

Once we see that high stakes harm the construction of state capacity, a natural tool for sequencing is to initially start at low stakes.

If the fine for driving through a red light is Rs 10,000, there will be pervasive corruption. Jobs in the highway police will be sought after; large bribes will be paid to obtain these jobs. There will be an institutional collapse of the highway police. It is better to first start with a fine of Rs 100, and build state capacity. Once a country has learned how to run a highway police at a fine of Rs 100, we can think of going up to larger fines.

A low tax rate induces low stakes. High tax rates are a high load upon the state, as the personal incentives of tax administrators (to take bribes) become highly divergent from the objectives of the institutions that they represent.

Public anger about the failures of the criminal justice system in India has often given a sharp escalation of punishments. This leads to higher stakes, and thus *reduces* the capability of the criminal justice system.

When we are at the early stages of learning how to be a state, it is wise to start out at low stakes (e.g., low tax rates, low punishments). Once capabilities are fully established, there can be a mature debate about whether the right policy pathways involve higher stakes (e.g., higher tax rates, higher punishments). [6]